

VOLUME 110
FEDERAL POLYTECHNIC MUBI

EXECUTORSHIP

AND

BANKRUPTCY LAW

COMPILED

BY

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EXECUTORSHIP

On the death of a man/woman, his/her property will pass on to someone else. The right to own the property left behind by the deceased and exercise control over it will need to be determined. The way and manner the property will be distributed will depend on whether or not the deceased left a valid will or not. The properties of the deceased are generally classified into two, namely: real property and personal property. Where a valid will is in place, the rules governing testate succession will apply, otherwise, the rules governing intestate succession will come to play.

DEFINITION OF KEY TERMS

- i. **Will:** A will is a legal declaration, usually in writing, by which a person names one or more persons to manage his or her estate and provides for the distribution of his or her property at death. It is also called a testament.
- ii. **Testator:** the person who executes or signs a will; that is, the person whose will it is. A female testator can also be referred to as a testatrix.
- iii. **Executor:** a person named to administer the estate, generally subject to the supervision of the probate court, in accordance with the testator's wishes in the will. In most cases, the testator will nominate an executor in the will unless that person is unable or unwilling to serve. He is also known as the Personal Representative. A female executor can be called an Executrix.
- iv. **Administrator:** person appointed or who petitions to administer an estate in an intestate succession.
- v. **Probate:** legal process of determining the validity of a will to settle the estate of a deceased person.
- vi. **Testate:** person who dies having created a will before death.
- vii. **Intestate:** person who has not created a will, or who does not have a valid will at the time of death.
- viii. **Codicil:** an amendment to a will; or a will that modifies or partially revokes an existing or earlier will.
- ix. **Beneficiary:** anyone receiving a gift or benefitting from a trust as stated in a will.
- x. **Inheritor:** a beneficiary in a succession, whether testate or intestate.
- xi. **Devise:** testamentary gift of real property.
- xii. **Devisee:** beneficiary of real property under a will.
- xiii. **Legacy:** testamentary gift of personal property, traditionally of money.
- xiv. **Legatee:** beneficiary of personal property under a will, i.e., a person receiving a legacy.

CREATION OF A VALID WILL

Any person who is 18 years and above and of a sound mind (having appropriate mental capacity) can draft his or her own will with or without the aid of a lawyer. A person under the age of 18 years can only make a valid will if he is a soldier or airman under active military service, or a sailor.

The following are requirements to create a valid will:

1. The testator must clearly identify himself as the maker of the will, and that a will is being made; this is commonly called "publication" of the will, and is typically satisfied by the words "last will and testament" on the face of the document.
2. The testator should declare that he revokes all previous wills and codicils. Otherwise, a subsequent will revokes earlier wills and codicils only to the extent to which they are inconsistent. However, if a subsequent will is completely inconsistent with an earlier one, the earlier will is considered completely revoked by implication.
3. The testator may demonstrate that he has the capacity to dispose of his or her property ("sound mind"), and does so freely and willingly.
4. The testator must sign and date the will, usually in the presence of at least two disinterested witnesses (persons who are not beneficiaries). There may be extra witnesses; these are called "supernumerary" witnesses, if there is a question as to an interested-party conflict.
5. If witnesses are designated to receive property under the will they are witnesses to, this has the effect, in many jurisdictions, of either
 - (i) Disallowing them to receive under the will, or
 - (ii) Invalidating their status as a witness.
6. The testator's signature must be placed at the end of the will. If this is not observed, any text following the signature will be ignored, or the entire will may be invalidated if what comes after the signature is so material that ignoring it would defeat the testator's intentions.
7. One or more beneficiaries (devisees, legatees) must generally be clearly stated in the will.

TYPES OF WILL

Generally, a will can either be formal or informal.

A **formal will** is a will that is done in writing (handwritten or typewritten); and is properly executed (signed by the testator or by his direction in the presence of two or more witnesses present at the same time. The witnesses attesting to the will in the presence of the testator).

An **Informal Will** is a will that does not conform to the requirements of a formal will. The Wills Act permits military personnel, and sailors to make informal will. Wills, depending on whether they are formal or informal, can also include the following:

- a. **Nuncupative:** this is an oral or dictated will. They are often limited to sailors or military personnel.
- b. **Holographic:** this is a will written in the handwriting of the testator.
- c. **Un solemn will:** this is a will in which the executor is unnamed.
- d. **W/Al in solemn form:** signed by testator and witnesses.
- e. **Self-proved:** this is a will written 'in solemn form' with affidavits of subscribing witnesses to avoid probate.
- f. **Mystic:** this is a will that is sealed until the death of the testator.
- g. **Reciprocal/Mutual wills:** wills made by two or more parties (typically spouses) that make similar or identical provisions in favour of each other.

REASONS FOR MAKING A WILL

It is desirable to make a will for some of the reasons highlighted below:

- a. To make specific provisions for the Testator's loved ones after demise;
- b. To avoid cases of intestacy—a condition wherein a person dies without a valid Will. Which leaves the estate to be governed by the rules of intestacy or customary law?
- c. To prevent long years of family feud, disagreement and litigation over the deceased person's estate;
- d. To enable the Testator appoint the persons he desires to be the Executors of his estate after his demise; and
- e. To prevent the Testator's estate from perishing. This may occur when the Testator has no relatives or when none of his relatives are aware of the existence of a particular property.

REVOCATION OF A WILL

A will may be revoked in any of the following ways:

- i. **By a Subsequent Will or Codicil:** a codicil is an instrument (document) executed by the testator for the purpose of adding to or altering a will previously made by him. Where a new will is made deliberately to set the previous will aside, it is necessary that it is stated specifically in the new will that the earlier will is being revoked. If this is not done, the court will consider the two wills valid and any inconsistencies between them will be resolved in favour of the most recent will.
- ii. **By Physical Destruction:** revocation can be done by the physical destruction (tearing or burning) of a will by the testator, or by some other person in the presence of the testator (and witnesses) and by his direction. The destruction must be intentional and not accidental for the revocation to be valid. If a will is destroyed accidentally or without the testator's authority, there is no revocation and another copy of the will can be admitted for the purpose of grant of probate. But the onus of proof that the original will was accidentally destroyed rests on the person seeking to tender a copy.

iii. **By a Subsequent Marriage:** a subsequent marriage effectively revokes an existing will as it is assumed that upon marriage a testator will want to review his/her will. There is an exception however, if the will contains a statement that it has been made in contemplation of a forthcoming marriage and the marriage actually takes place. A marriage under customary law, however, does not revoke a will.

FAMILY PROVISION

By 1975, the Inheritance (Provision for Family and Dependents) Act was passed. This Act gave extensive powers to the courts to award reasonable provision out of a deceased's estate for the maintenance of certain dependants if the will or intestacy failed to make such provisions for them. The Act allows claims by close family members and also by persons who were financially dependent on the deceased when he died.

The dependants who may apply to the court for financial provision out of the deceased estate include:

- a. The wife or husband of the deceased;
 - b. A former wife or husband of the deceased who has not remarried;
 - c. A child of the deceased;
 - d. Any adopted child;
 - e. Any other person who at the time of the death of the deceased was wholly, or partly being maintained by him.
- For an application to be effective in this situation, it must be made within 6 months immediately following the grant of probate or letter of administration; unless the court at its discretion agrees to an extended period.

PROBATE AND ADMINISTRATION

Personal representatives cannot act in respect of a deceased's estate until they obtain a grant of probate for executors; or a letter of administration for administrators (intestate succession/where there is no will). After the testator has died, a probate proceeding may be initiated in court to determine the validity of the will or wills that the testator may have created, i.e., which will satisfy the legal requirements, and to appoint an executor. In most cases, during probate, at least one witness is called upon to testify or sign a "proof of witness" affidavit. In some jurisdictions, however, statutes may provide requirements for a "self-proving" will (must be met during the execution of the will), in which case witness testimony may be forgone during probate.

If the will is ruled invalid in probate, then inheritance will occur under the laws of intestacy as if a will were never drafted. Often there is a time limit, usually 30 days, within which a will must be admitted to probate. Usually only an original will can be admitted to probate – even the most accurate photocopy will not

suffice. However a copy of a will can be admitted if the original was lost or accidentally destroyed and the validity of the will can be shown to the court.

Where the application for grant of probate is not opposed, the probate is said to be “**in common form.**”

However, where there is an objection as to the validity or authenticity of a will, witnesses will be called and a probate granted after such proceeding is said to be “**in solemn form.**”

TRUST CORPORATIONS

Rather than name in individuals as executors, a testator may appoint a trust corporation as the executor of a will. A trust corporation is a company registered under CAMA 2004 to carry on the business of trusteeship. If a trust corporation is granted probate, it will normally appoint an officer to carry out the work.

Advantages of a Trust Corporation

Some of the advantages of appointing a trust corporation as executor include:

- i. wide experience of legal, tax and accountancy requirements;
- ii. A corporation cannot die unlike a private/individual executor;
- iii. Assurance of impartiality: there's reduced chances of the corporate executor taking sides in family feuds; and
- iv. The cost of administration is likely to be lower

Revocation of Probate

A grant of probate will be revoked in any of the following circumstances:

- a. Where it was obtained ‘in common form’ and the executor is called upon to prove the will in solemn form and fails to do so.
- b. Where a later will is discovered.
- c. When the probate is obtained by fraud.
- d. Where the probate is granted to a wrong person.
- e. If the executor becomes incapable of acting by reason of insanity or infirmity.
- f. If the testator is found to be alive.

Revocation of Administration

A grant of letter of administration will be revoked under the following situations:

- a. Where a will is discovered.
- b. When the grant is obtained by fraud.
- c. Where the grant is made to a wrong person.
- d. If the administrator becomes incapable of acting by reason of insanity or infirmity.
- e. If the intestate is found to be alive.

INTESTATE SUCCESSION

Intestacy is the situation where an individual dies without leaving a valid will. Partial intestacy however occurs where there is a valid will, but the will does not

dispose all of the testator's property. In cases of intestacy and partial intestacy, the rules governing intestate succession will apply.

INTESTATE SUCCESSION UNDER STATUTE

According to the provisions of the Administration of Estates Law of 1959, the following will play out in case of intestacy, where the intestate had married under the Marriage Act:

1. Where the intestate leaves no issues, no parent, and no whole brother or sister; the residuary estate will be held for the surviving husband or wife absolutely.
2. Where the intestate leaves issues, the surviving husband or wife shall take the personal chattels absolutely and in addition the surviving spouse will receive lump sum of money equivalent to one-third of the residuary estate. One-third of the residuary estate after deducting the lump sum due to the surviving spouse shall also be held in trust for the surviving spouse during his or her life time.
The balance will then be distributed equally among the children or held on statutory trusts for them where they are not yet entitled to it.
3. Where the intestate leaves no issues, but is survived by parents and whole blood brothers and sisters; the surviving spouse shall take in addition to the personal chattels, a lump sum of money equivalent to two-thirds of the residuary estate. One-half of the residuary estate above after deducting the lump sum above shall be held in trust for the surviving spouse absolutely. The other half shall be held in trust for the parent(s) in equal share absolutely. Where the intestate leaves no parents, the other half shall be held in trust for the whole blood brothers and sisters of the intestate.
4. Where the intestate leaves no surviving spouse, no issue, no parent, and no whole blood or sister; the residuary estate shall be held in trust for the half brothers or sisters of the intestate.
5. Where the intestate leaves no surviving spouse, no issue, no parent, no whole blood or sister, and no half brother or sister; the residuary estate shall be held in trust for the grandparents.
6. Where the intestate leaves no surviving spouse, no issue, no parent, and no whole blood or sister, no half brother or sister and no grandparent, the residuary estate shall be held in trust for the uncles and aunts of the intestate being whole blood brother or sister of a parent of the intestate.
7. Where the intestate leaves no surviving spouse, no issue, no parent, and no whole blood or sister, no half brother or sister, no grandparent, and no uncle and aunt from whole blood brothers or sisters of a parent; the residuary estate shall be held in trust for the uncles and aunts of the being half blood brothers or sisters of a parent of the intestate.
8. Where the intestate leaves no relation of any of the class mentioned above, the residuary estate shall belong to the state as '**bona vacantia**' that is property

without owner, in lieu of any right to escheat i.e. in the absence of any right of reversion.

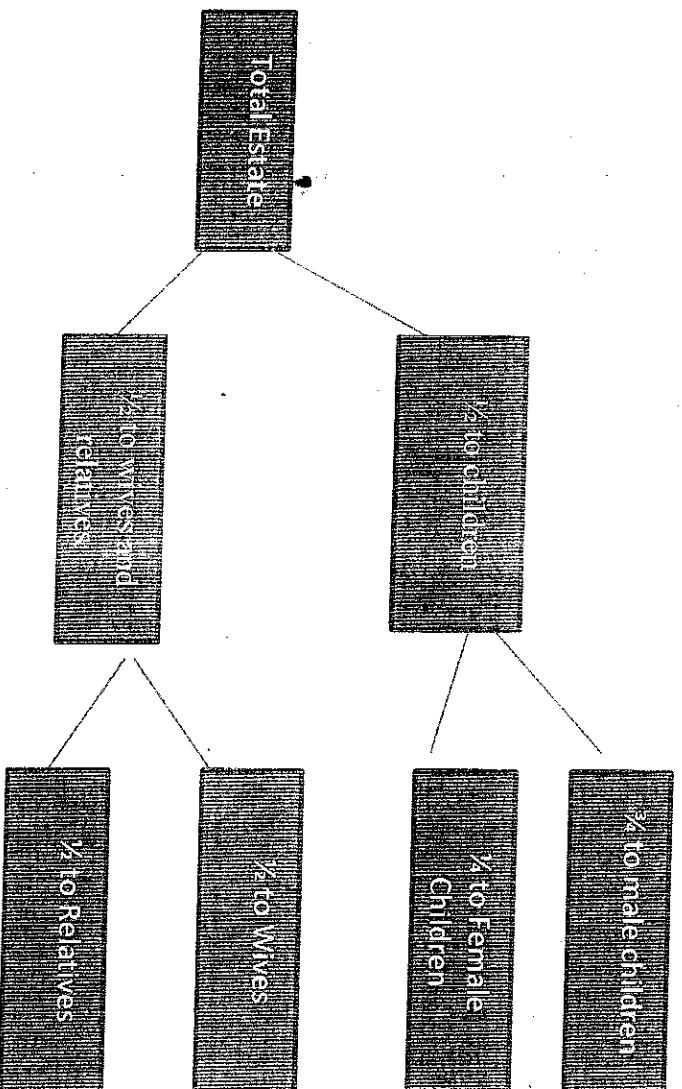
Intestate Succession under Customary Law

The rules governing intestate succession under the statute is only applicable where the intestate had married under the Marriage Act or a Marriage Law in any of the states. Where the intestate married under the customary law, the provisions of the Administration of Estates Law do not apply. Different customs are applicable in different parts of the country. These reflect the customary practices of the Hausa, Igbo and the Yoruba.

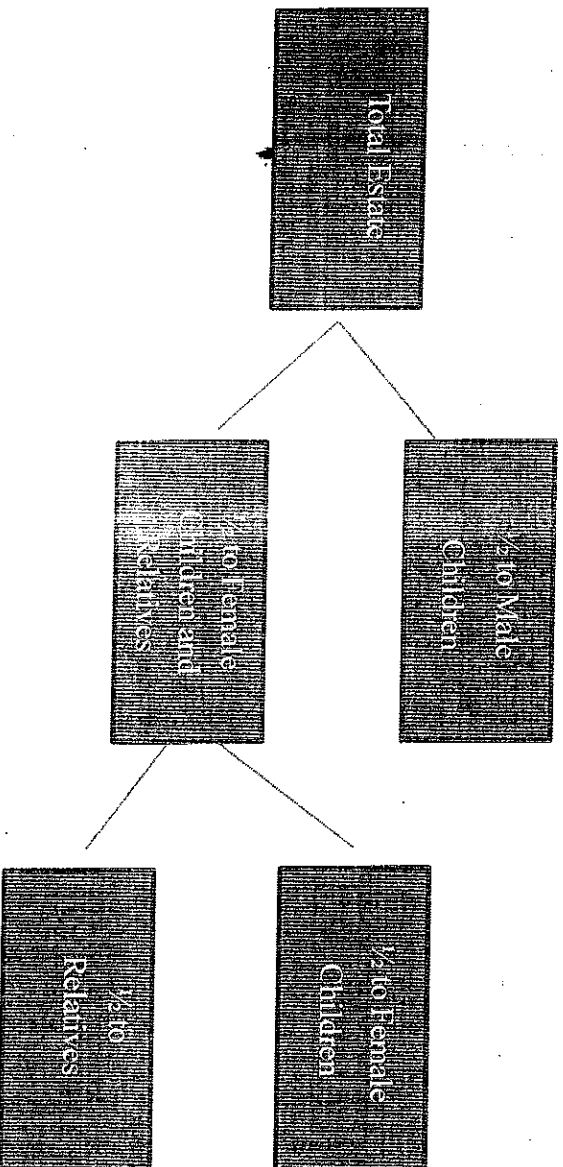
HAUSA CUSTOM

The practice among the Hausa appears to be more equitable and detailed than what obtains in the other two customs. While only the children participate in the sharing of real property (land, houses etc.); wives and relatives join and participate in the sharing of money and chattels (personal effects including jewellery). After all necessary burial rites and the settlement of the deceased's debts, if any, the family members will share the deceased's estate along the following line:

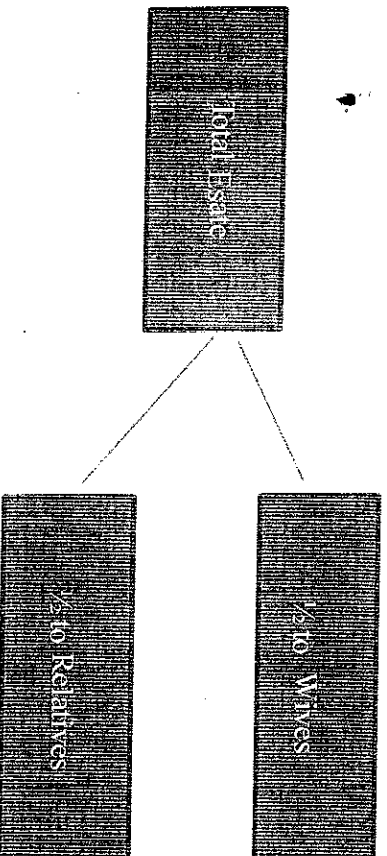
1. Where he is survived by a wife (or wives), children and relatives: the estate will be shared into two halves; one half will be given to the children, while the other half will be given to the wives and relatives. The portion given to the children will be shared into two halves, one half will be given to the male children, while the other half will be shared into two – one half will be added to the share of the male children and the other half will be given to the female children.



2. Where the intestate leaves no surviving wife but children and relatives: his estate will be shared into two halves. One half will be given to male children while the other half will also be shared into two. One half of this will be given to the female children, while the other half will be given to the relatives.



3. Where the Intestate leaves no children, but wives and relatives: the estate will be shared into two halves. One half will be given to the wives, while the other half will be given to the relatives.



IGBO CUSTOM

In Igbo land, after the necessary burial rites and the settlement of the deceased debts, if any, only the male children will participate in the sharing of their parent's property; and the first son will hold the property in trust for all the other children until they are of age to collect their own share. All the male children have equal rights; and if anything is given to the female children at all, they are likely to be some chattels with little or no use to the male children. Female children do not share in real property like land and houses. However a decision of the Court of Appeal (1998) sitting at Enugu declared the custom which forbids female children from inheriting their father's real property as being repugnant to natural justice, equity and good conscience, hence female children in Igbo land now have the same rights as their male counterparts to their father's inheritance.

YORUBA CUSTOM

In Yoruba land, when a person dies intestate after all the necessary burial rites and the settlement of the deceased debt's, if any, the elders in the family will fix a meeting for the purpose of distributing the deceased's estate among his children . Two customary practices are followed depending on which is applicable in a particular case:

1. Idi-Igi: it implies according to the number of wives, and this practice is in use when the deceased is succeeded more than one wife. Here the deceased's estate is shared among the children on the basis on the number of wives.

2. Ori-Ojori: this implies that 'all heads are equal,' and it is in use where the deceased is married to only one wife. The deceased's estate is shared equally among the children.

In Yoruba land both male and female children have equal rights to their parent's property, even though in practice male children are normally more favoured (especially where the sharing of real property like land and houses are involved).

BANKRUPTCY

Bankruptcy is defined as a compulsory administration of the estate of an insolvent person by the court for the benefit of the creditors.

Bankruptcy may also be defined as the legal status, imposed by a court, of a person or other entity that cannot repay the debts it owes to its creditors.

A bankrupt is therefore a debtor (excluding a corporate body) against whom a court has made a bankruptcy order. The order signifies that the debtor is unable to pay his debt, and deprives the bankrupt of his property, which then is realised and distributed among the creditors, subject to the following exceptions:

- a. Assets held by him in trust
- b. Tools of his trade
- c. Basic necessities, such as bedding and wearing apparels.

The intention is that the distribution of the proceeds (of the realised property) will discharge the bankrupt from further liability. All types of persons including infants may be adjudged bankrupt.

However, bankruptcy proceedings cannot be taken against an insolvent corporate body. An insolvent company can only be liquidated/wound-up (not declared bankrupt).

Insolvency

Insolvency is a temporary inability to pay debt as and when they fall due, because of lack of sufficient liquid assets. Balance sheet insolvency arises where the liabilities of an entity exceeds the assets of the entity. Both individuals and corporate entities can be insolvent.

Insolvency unlike bankruptcy is a temporary inability to pay, does not have to be by a court order, and is not limited to individuals alone.

Purposes of Bankruptcy Law

- i. To inquire into the reasons for bankruptcy/insolvency;
 - ii. To secure a fair distribution of the properties of the bankrupt among his creditors;
 - iii. To free the bankrupt from his debts.
- A bankrupt is not a criminal, although he may commit criminal offence in the course of bankruptcy. In spite of a bankrupt not being a criminal, an undischarged bankrupt suffers the following disabilities: he cannot
- a. vote or be voted for;
 - b. be appointed a trustee;
 - c. join in the formation of a company or partnership;
 - d. act as a director of a registered company or take part in the management of such a company; and
 - e. be a chairman or a member of any government parastatal.
- Who can be declared Bankrupt? (Classes of Debtors)

Every person (excluding corporate bodies) who has the capacity to contract may be declared bankrupt. Such persons include:

- a. Aliens: an alien may be declared bankrupt if he is domiciled in Nigeria; he has carried on business in Nigeria; and he has a place of business in Nigeria.
 - b. Imprisoned criminals: there are no special treatments, they will be treated normally.
 - c. Minors: they can be made bankrupt only in respect of legally enforceable debts, such as contract of necessities and unsatisfied judgment in tort, such as libel or negligence.
 - d. Persons of unsound mind: they can be bankrupt for debts incurred whilst of a sound mind.
 - e. Deceased persons: a dead person cannot be made bankrupt, but if his liabilities exceed his asset as at the time of death, then his estate can be administered in bankruptcy. An order of the court to this effect will override a grant of probate or letter of administration.
- Causes of Bankruptcies**
- i. Lack of adequate and proper planning
 - ii. Poor Credit management: lack of control over credit use

BANKRUPTCY PROCEEDINGS

For a debtor to be declared bankrupt, the following proceedings must be taken in law:

a. Bankruptcy Petition

A bankruptcy proceeding is started by the filing of a bankruptcy petition before a Federal high Court. Before a Bankruptcy petition can be filed, the debtor must have committed an act of bankruptcy. According to the Bankruptcy Act the three types of act of bankruptcy are:

- i. Where a judgment creditor has obtained a final judgment for a certain sum and has served a notice of bankruptcy on the judgment debtor, but the judgment debtor failed within 14 days of the service to pay the judgment debt or could not prove that he has to demand a sum equal to the judgment debt from the judgment creditor;
- ii. Where the goods or property of the judgment debtor have been seized upon the order of a court and such goods or property had been in the possession of the bailiff for 21 days or had been sold;
- iii. Where the debtor presents a bankruptcy petition against himself by filing in the court a declaration of his inability to pay his debts.

b. Receiving Order

This is an order of the court in bankruptcy proceedings whereby the debtor's estate is placed under the custody and control of the court. The officer of the court who exercises the power of court custody and control over the debtor's estate on behalf of the court is known as the Official Receiver.

This order does not strip the debtor of his title to the estate. It merely deprives him of possession and control over the property. The receiving order must be published in the gazette. The court shall only make a receiving order if the creditors satisfy the following requirements:

- i. The debt due to the debtor must not be less than N2,000;
- ii. The debt must be a liquidated sum (that is, a sum of money already ascertained or known before the presentation of the bankruptcy petition);
- iii. The act of bankruptcy on which the petition is presented must have been committed within three months before the presentation of the bankruptcy petition; and
- iv. The debtor should either be a Nigerian citizen resident in Nigeria or a foreigner who has a dwelling house or place of business in Nigeria.

c. Filing of Statement of Affairs

Statement of Affairs is a statement giving an account of the assets and liabilities of the debtor. It provides the details of creditors, and securities, if any, held by the creditors and names of the other persons holding property on behalf of the debtor (trustees). The statement of affairs, unless the court grants an extension of time, should be submitted within 7 days where the debtor files the bankruptcy petition; or 14 days where the creditor files the petition. The statement of affairs should be supported with a sworn affidavit by the debtor. Where the debtor is unable to file a statement, the official receiver may, at the expense of the estate, employ another person to prepare the statement.

d. First Meeting of Creditors

As soon as practicable after the grant of a receiving order, the official receiver should summon the first meeting of creditors. The purpose of this meeting is to consider any proposal for a composition or scheme of arrangement put forward by the debtor so as to avoid adjudication. If the meeting accepts a composition or scheme of arrangement, the bankruptcy proceedings shall terminate; but where it is decided that the debtor should be adjudged bankrupt, the meeting can also appoint the trustee in bankruptcy or a committee of inspection.

e. Public Examination

When a receiving order is made, the Official Receiver is entitled to apply to the court for the appointment of a time and place for the public examination of the debtor. The public examination of the debtor is a forum to ascertain the affairs, conduct, dealings, property and causes of the debtor's failing. The debtor shall be

questioned on oath, but he is not allowed to be represented by a legal practitioner. A debtor shall be excused from public examination in the following instances:

- i. Where the debtor suffers from mental disability;
- ii. Where the debtor suffers from physical liability; and
- iii. Where the debtor is absent from Nigeria.

f. Adjudication Order

This is the order of the court declaring the debtor bankrupt. On adjudication, the property of the bankrupt becomes divisible among his creditors and the title in the property becomes vested in the trustee in bankruptcy for the purpose.

Where a debtor is an adjudicated bankrupt, he must in citing his name add the phrase "a bankrupt" (after his name).

According to the Bankruptcy Act, an adjudication order may be made in the following instances:

- i. If the creditors, at the first meeting or any adjournment, by ordinary resolution, resolved that the debtor be adjudged bankrupt;
- ii. If the creditors do not meet; and
- iii. If a composition or scheme of arrangement is not approved within fourteen (14) days after the conclusion of the public examination of the debtor.

g. Discharge Order

According to the Act, a bankrupt may at any time after being adjudged bankrupt, apply to the court for an order of discharge. As a matter of general rule, the application must be heard in an open court. Where the bankrupt does not apply for an order of discharge, he may be called upon to come for his discharge at the instance or request of the following:

- i. The court;
- ii. The official receiver;
- iii. The trustee in bankruptcy;
- iv. Any creditor who has proved his debt.

The court may or may not make an order of discharge. Specifically, the court shall refuse to make an order of discharge in the following instances:

- i. Where the bankrupt has committed a bankruptcy offence;
 - ii. Where the bankrupt has continued to trade after knowing himself to be insolvent;
 - iii. Where the bankrupt has previously been adjudged bankrupt; and
 - iv. Where the bankrupt has been guilty of any fraud or fraudulent breach of trust.
- However, a bankrupt shall be discharged after 5 years from the date a receiving order was made against him. An order of discharge shall release the bankrupt from all debts provable in bankruptcy except:
- i. Any debt incurred by means of any fraud or fraudulent breach of trust; and
 - ii. Any debt due from the bankrupt to the government.

Furthermore, an order of discharge shall be conclusive evidence of the bankruptcy and of the validity of the bankruptcy proceedings.

Finally, an order of discharge does not relieve a guarantor of a bankrupt or the bankrupt's partner or co-trustee from liabilities, which they are both jointly answerable to.

Priority of Costs and Charges

In the distribution of the property of the bankrupt, payment shall be made in the following order of priority:

- a. Costs incurred in realising the assets of the debtor.
- b. Costs incurred by the official receiver in protecting the property of the bankrupt.
- c. Fees, percentages or charges due to official receiver or trustee.
- d. Remuneration of special manager, if any.
- e. The taxed cost of the petitioners as approved by the court.

Priority of Debts

In the distribution of the property of the bankrupt the following shall be paid in priority to all other debts:

- a. All debts due from the bankrupt to the State at the date of the receiving order and having become due and payable within twelve months before the date of the receiving order;
- b. Wages and salaries (including commissions) of any employee over a period of four months to the date of the receiving order.

Landlord's power of Distrain

The landlord is entitled to retain the assets of the debtor for any rent due to him for the following:

- a. All arrears of rent, if he seizes the property of the debtor prior to the commencement of the bankruptcy;
- b. For only six months' rent priority, if he seizes the debtor's property after the commencement of the bankruptcy. Any balance of rent due after the date of the receiving order will have to be proved as an unsecured creditor.

PARTNERSHIP BANKRUPTCY

In a partnership bankruptcy, the assets and liabilities of the firm are separated from the personal assets and liabilities of the partners.

The partnership assets and liabilities are dealt with under a joint estate, while partners' personal assets are dealt with under the separate estate of each partner.

The liabilities of the partnership are settled from the assets of the business; when the assets are insufficient to meet the liabilities, then the personal assets and liabilities of the partners shall be used to make up for the liabilities.

After settling all liabilities, if there is an excess, this shall be distributed to the partners in the ratio of the balances of their capital accounts at that point in time. If

there is deficit, any of the partner(s) with a surplus in his separate estate must transfer the surplus or part of it, to the joint estate to offset the deficit.

PROPERTIES AVAILABLE FOR DISTRIBUTION

The properties of the bankrupt available for distribution among creditors include:

- a. All such property as may belong to or may be vested in the bankrupt at the commencement of the bankruptcy or may be acquired by or devolve on him before his discharge;
- b. All goods being at the commencement of the bankruptcy in the possession, order or disposition of the bankrupt, in his trade or business, by the consent and permission of the true owner, under such circumstances that he is the reputed owner thereof

The property of the bankrupt divisible amongst his creditors shall not include the following:

- a. property held by him in trust for any other person;
- b. Tools of his trade; and necessary wearing apparel and bedding of himself and his family dependent on and residing with him, to a value , inclusive of tool and apparel and bedding, not exceeding N1,000 in the whole.

ACCOUNTING PROCEDURES

Having considered the basics of the bankruptcy law, it is important to learn how to prepare the accounts necessary to wind up the affairs of the bankrupt. The required accounts are:

- a. Statement of Affairs
- b. Deficiency Account.

Statement of Affairs

Statement of Affairs is a statement giving an account of the assets and liabilities of the debtor. It provides details of his assets; creditors, and securities, if any, held by the creditors and names of the other persons holding property on behalf of the debtor (trustees). It contains the details of how much will be realised in respect of each asset of the individual (including private assets).

Also it will show the analysis of liabilities as follows:

- i. Unsecured Creditors
- ii. Secured Creditors (differentiating between those that are fully secured and those partly secured); and
- iii. Preferential Creditors: those
It is prepared as follows

- a. A rough statement should be prepared with assets on the right hand side and liabilities on the left.
- b. Any item not in the (rough) Statement of Financial Position must appear both in the Statement of Affairs and in the Deficiency Account (double entry).

- c. The Capital must be accounted for in the deficiency account, on the same side as it appears in the Statement of Financial Position. Certain adjustments are required in connection with the capital account.
- d. The balance of the Statement of Affairs and Deficiency Account will be equal and closed by a cross transfer.

Deficiency Account

The Deficiency (or Surplus) account must be attached to the statement of Affairs to explain how the deficiency or surplus in the Statement of Affairs has been arrived at. It generally contains the following:

- a. Losses or gains on disposal of assets (losses on the right side, profits on the left);
- b. Capital and profit or loss account balances;
- c. The double entry aspect of items not appearing in the debtor's Statement of Financial Position.